



NEW BUSINESS PITCH



beats. by dr.dre

• HEAR WHAT YOU WANT

cube_{you}

The Data You Need to Win This Pitch



NAME

Beats by Dre
reaches out to
agencies



BRAND



PITCH TYPE

Advertising
Work



MARKET

Global



DATE

March 4th, 2016

DESCRIPTION

Apple's Beats by Dre has reached out to agencies as it looks to expand, according to people familiar with the situation. The headphones company, which was acquired by Apple in 2014 for \$3 billion, has contacted a slew of agencies. According to people familiar with the matter, the move could result in a significant amount of work for one agency, or a few agencies could be tapped to handle various projects. Agencies could even be asked to supply ideas, but see another entity or Beats' internal team execute the work. One person said that the search is related to the company's intention to grow Beats, particularly internationally, though most, if not all, of the agencies contacted are U.S. based.

Client Profile / Market

COMPANY BACKGROUND

Beats Electronics is a division of Apple that produces audio products. Headquartered in Culver City, California, U.S., the company was founded by music producer and rapper Dr. Dre and former Interscope Geffen A&M Records chairman Jimmy Iovine.

The subsidiary's product line is primarily focused on headphones and speakers. Beats' original product line was manufactured in partnership with the AV equipment company Monster Cable Products; following the end of its contract with the company, Beats took further development of its products in-house. In 2014, the company expanded into the online music market with the launch of its subscription-based streaming service, Beats Music.

In 2012 NPD Group reported that Beats' market share was 64% in the U.S. for headphones priced higher than \$100, and the brand was valued at US\$1 billion in September 2013.

For a period, the company was majority-owned by Taiwanese smartphone maker HTC—the company reduced its stake to 25% in 2012, and sold its remaining stake back to the company in 2013; concurrently, Carlyle Group replaced HTC as a minority shareholder, alongside Dr. Dre and Iovine, in late 2013. On August 1, 2014, Apple Inc. acquired Beats for US \$3 billion in a cash and stock deal, the largest acquisition in Apple's history.

FINANCIAL OVERVIEW

2015 Sales (mil)	232.152
2015 Employees	500
Employee Growth Percent	NA
Assets (mil)	NA
Net Income Growth Percent	NA
Sales Growth Percent	NA

MAIN COMPETITORS



Headphone market statistics

OVER 350 BRANDS IN THE HEADPHONE MARKET

Millennials account for the 44%
of all audio hardware spending

- NDP -

ANNUAL
GROWTH
10-15 **8.9%**

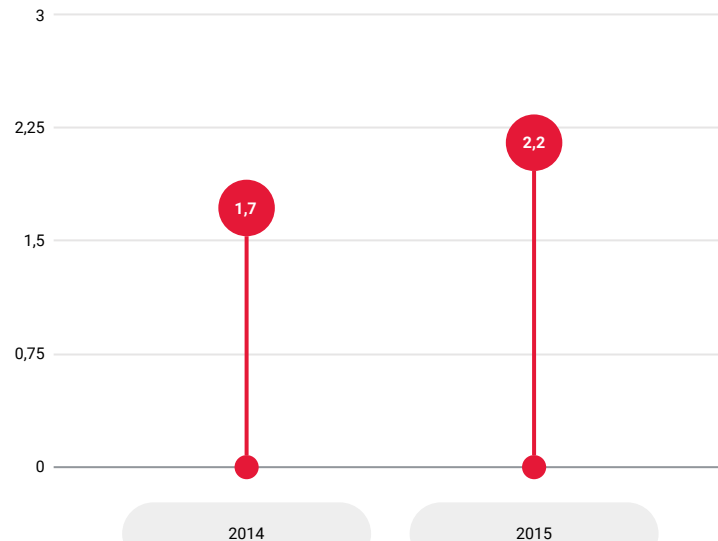
- Consumer Electronics Associations -

PROJECT
GROWTH
IN 2016 **+13%**

- Consumer Electronics Associations -

U.S. HEADPHONE MARKET REVENUES

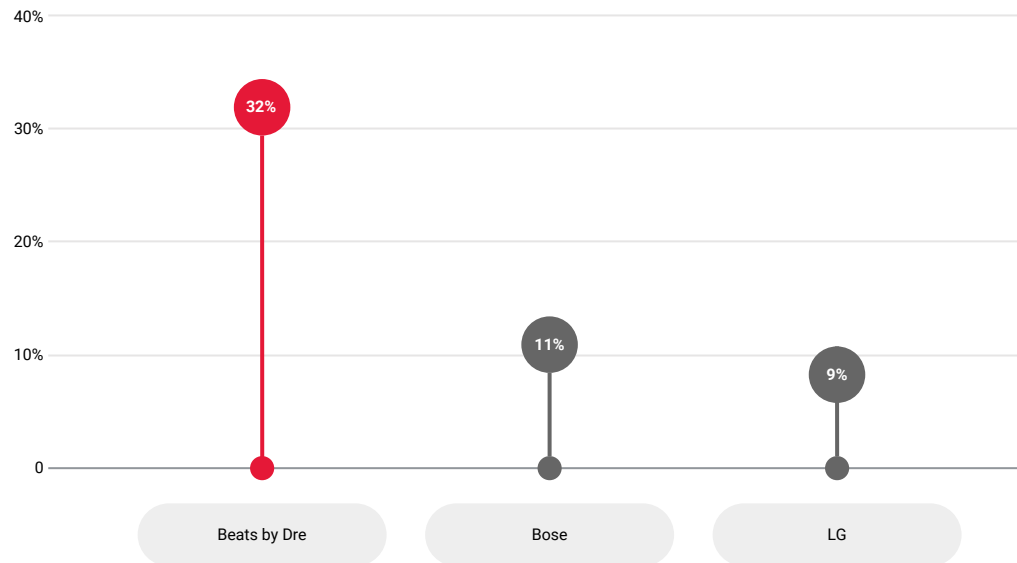
- Consumer Electronics Association -



Beats by Dre dominating the market...



U.S. HEADPHONE INDUSTRY REVENUE MARKET SHARE 2015





...in every segment

TOP 3 HEADPHONE CATEGORIES BY REVENUE

FITNESS HEADPHONES



49%



9%



8%

12.3 Million

Units of sport
headphones sold
in 2015

- FUTURESOURCE CONSULTING -

PREMIUM HEADPHONES



60%

BOSE

20%



6%

Premium headphones segment
(\$100+) grew by
24%
in 2015

- NPd -

BLUETOOTH HEADPHONES



46%



22%



5%

Bluetooth headphones worldwide
sales expected to grow on average
36%
through 2019

- FUTURESOURCE CONSULTING -

Celebrity Endorsements are a must

ENDORSEMENTS ARE EXTREMELY/VERY IMPORTANT
TO NEARLY 30% OF CONSUMERS

when deciding what headphones to buy.

- NPD -

Music artist endorsements ranked **highest** among consumers
purchasing headphones under \$20 and over \$100

- NPD -



Lil Wayne

Beats tapping into pop culture

"Culture for us is sports, music, fashion, art and entertainment. So moving at the speed of culture touches every corner of our business"

- Omar Johnson, Beats' CMO -

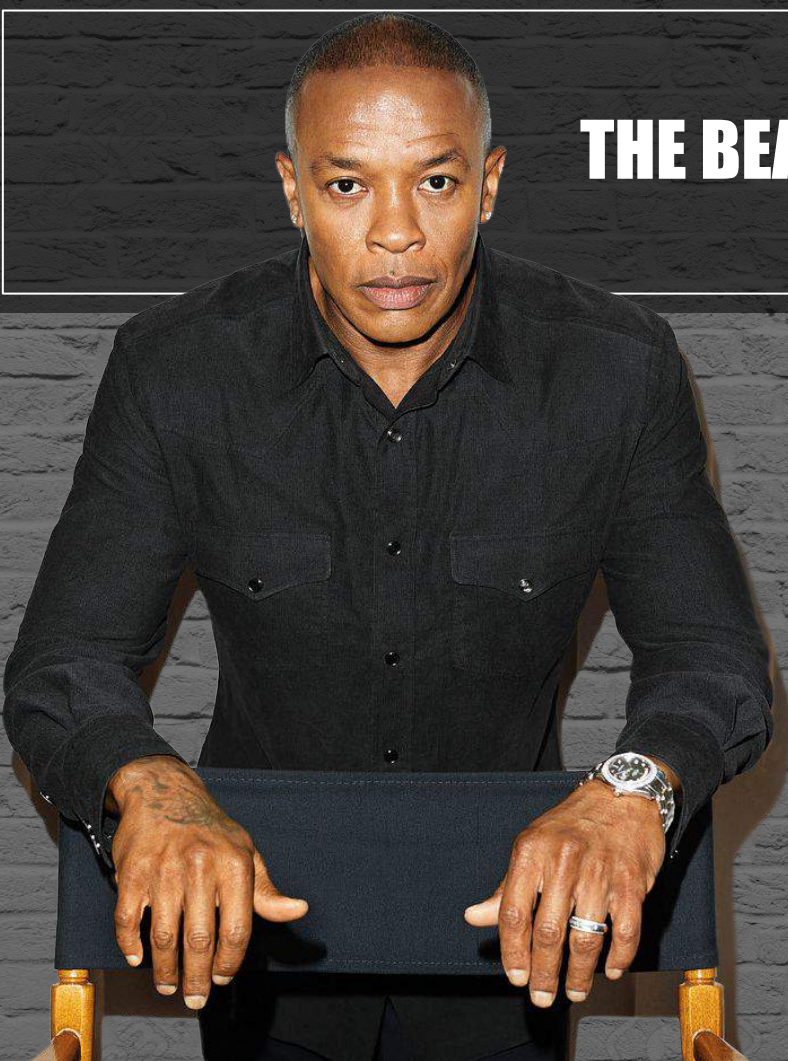
Beats rarely relies on consumer research to create content. Instead, **the brand taps into influencers** who are truly engaging with the brand.

- Omar Johnson, Beats' CMO -

Beats spent **\$82 Million** in measured media in 2014

- Kantar Media -



A portrait of Dr. Dre, a prominent figure in hip-hop culture, sitting in a wooden chair with a dark blue cushion. He is wearing a black button-down shirt and has a watch on his left wrist and a ring on his left hand. The background is a dark, textured brick wall.

THE BEATS CULTURE TEST

...

AUDIOPHILES VS BEATS' AUDIENCE

...

An audiophile is a person enthusiastic about high-fidelity sound reproduction.

Audiophiles VS Beats' Audience

How different are **Audiophiles** and **Beats' customers** across the 5 areas defining the **Beats culture**?

SPORT



MUSIC



FASHION



ART



ENTERTAINMENT



Audiophiles: Sports

SPORTS ENTHUSIASTS

85.6

(popularity index)

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INDIVIDUAL SPORTS

105.6

(popularity index)

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TOP SPORTS



TOP TEAMS & ATHLETES

McLaren

Audi Sport



Andy Schleck



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BEATS AUDIENCE CROSSOVERS

Beats' audience can be defined as
sport enthusiast (Pop: 165.7)

Individual Sports are not
attractive (Pop: 29.8)

Running has high popularity
index (162.3)

McLaren (R:118.6), **Audi** (R:136.4)
and **Andy Schleck** (R:104) score
positive relevance

Audiophiles: Music



MUSIC LOVERS

140.3

(popularity index)

cube_{you}

MUSICIANS

188.8

(popularity index)

cube_{you}

TOP GENRES



Electronic Music



Classical Music



Blues & Jazz Music

TOP MUSICIANS



Al Di Meola



Jaco Pastorius



Kraftwerk



beats by dr.dre

BEATS AUDIENCE CROSSOVERS

Music lovers trait is slightly positive on Beats' audience (Pop: 107.9)

Electronic Music is popular (126.1) among individuals interested in Beats headphones.

Jazz & Blues (41.4) and Classical Music (12.6) are not popular at all among Beats' customers

Al Di Meola (7.9), Jaco Pastorius (10.1) and Kraftwerk (20.5) are irrelevant musicians for the Beats' audience.

Audiophiles: Fashion



FASHION LOVERS

85.6

(popularity index)

cube_{you}

FASHION DISCONNECTS

105.6

(popularity index)

cube_{you}

TOP BRANDS

Rapha

pebble

HEAD

TOP NEWS SOURCES

FRESHNESS

SHUTTERBUG

RUSSH



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BEATS AUDIENCE CROSSOVERS

Fashion (Pop: 135.3) is one of the main interests of Beats' audience

Beats customers are not fashion disconnects at all (Pop: 5.7)

Head Tennis (R 149.6) and Pebble (R 124.9) are brands catching the attention of Beats' audience

Beats customers are willing to follow Freshnessmag.com news (R 135). While PopSugar Fashion (R 38.7) and Russh (R 21.4) are not relevant.

Audiophiles: Art

ART APPRECIATORS

146.3

(popularity index)

cubeyou

MUSIC EQUIPMENT & TECHNOLOGY

105.6

(popularity index)

cubeyou

TOP BRANDS

tc electronic

SA
SEISMIC AUDIO

moog

ART NEWS SOURCES

nyrb

POPSUGAR



My Modern Met



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BEATS AUDIENCE CROSSOVERS

Beats' audience has low interest in Art (Pop: 15)

Music Equipment (P 118.4) is popular on Beats' audience

Seismic Audio (R 126) is the only brand having positive relevance index

The top 3 Audiophile's art news sources are scoring poor relevance index points on Beats' audience.

Audiophiles: Entertainment

ENTERTAINMENT JUNKIES

81.5

(popularity index)

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24HR NEWS CHANNELS

123.2

(popularity index)

cube_{you}

TOP MOVIES & TV SHOWS

THE WRECKING CREW



PORTLANDIA

ARRESTED
DEVELOPMENT

TOP ACTORS & DIRECTORS



David Lynch



Werner Herzog



Coen Brother



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BEATS AUDIENCE CROSSOVERS

Beats' audience is more interested in Entertainment content (P 106.6)

24HR News Channels are not popular among Beats' Customers (P 28.8)

Herzog, Lynch (R 12.4) and the Coen Brothers (R 19.8) score poor relevance index points.

The Wrecking Crew, Portlandia (R 20.5) and Arrested Development (R 18) are not relevant for Beats' audience

Beats - Audiophiles Adherence

Beats' audience share 26.3% of the Audiophiles' interests across the 5 interest areas composing the Beats' Culture

26%

AUDIOPHILES





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